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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

FEBRUARY 1970

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousands sq. km.)	69
Agricultural area (average 1961-66) as per cent of total area	67

Population of major cities, with suburbs, 1966 census:	
Dublin, Co. Borough	650 153
Cork, Co. Borough	125 283
Dun Laoghaire, Co. Borough	84 814
Limerick, Co. Borough	58 082

THE PEOPLE

Population (April 1969)	2 921 000
No. of inhabitants per sq. km.	42
Increase in population:	
Annual average 1961-69	12 800
Natural increase in population:	
Annual average 1966-69	29 000

Emigration:	
Annual average 1966-69	16 700
Annual average per thousand of population	6
Labour force, total at work, April 1969	1 069 000
Employment in:	
Agriculture, forestry and fishing	301 000
Industry and construction	315 000
Other sectors	453 000

PRODUCTION

Gross national product in 1969 (£ million at market prices)	1 426
GNP per head (US dollars) (1969)	1 172
Gross fixed investment (1969):	
as per cent of GNP	22.3
per head (US dollars)	261

Origin of gross domestic product in 1968:	(per cent)
Agriculture, forestry and fishing	19.7
Industry and construction	34.0
Services	46.3

THE GOVERNMENT

Public current expenditure on goods and services, 1969 (as per cent of GNP)	13
General government current revenue 1968-69 (as per cent of GNP in 1968)	31
Public debt, 31st March 1969 (as per cent of central government current revenue 1968-69)	245

Composition of Parliament (March 1969):	seats
Fianna Fail	74
Fine Gael	46
Labour	19
Others	4
Last election: April 1965.	

LIVING STANDARDS

Food consumption, calories per head per day (1968)	3 450
Average weekly earnings of industrial workers in June 1969 (in shillings)	307
Government current expenditure on education per head, in US dollars, 1969-70 (estimate)	47

No. of passenger cars in use per thousand of population (1969)	123
No. of telephones per thousand of population (year ended 31st March 1969)	94
No. of radio and television licences per thousand of population (year ended 31st March 1969)	194

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP, 1968	35.5
Main exports, 1968 (per cent of total domestic exports):	
Meat and meat preparations	18
Live animals	18
Dairy products and eggs	7
Machinery and electrical goods	6
Textile manufactures	5
Clothing	5
Beer	4
Metal ores and scrap	3
Main customers, 1968 (per cent of total):	
United Kingdom	69
European Economic Community	9
United States	10

Imports:	
Imports of goods and services as per cent of GNP, 1968	40.9
Main imports, 1968 (per cent of total):	
Machinery and electrical goods	24
Chemicals, including fertilizers	10
Petroleum and products	7
Textile manufactures	7
Main suppliers, 1968 (per cent of total):	
United Kingdom	51
European Economic Community	16
United States	7

THE CURRENCY

Monetary unit: Irish pound.

Currency unit per US dollar: 0.417

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IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The review of Ireland by the OECD
Economic and Development Review Committee took place
on 19th February 1970. The present Survey
has been updated subsequently.

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INTRODUCTION

1969 saw the close of the first decade of long-term economic programming in Ireland. During this decade there was a rapid transformation from a basically agricultural economy with a small protected industrial sector, towards a modern industrial society competing on international markets. Virtual stagnation during most of the 1950's has been succeeded by growth in line with trends in the rest of OECD Europe. Net emigration has been reduced and the decline in population arrested, while there has been a continuous and rapid transfer of labour from agriculture to better-paid urban occupations. 1969 was the first year of the Third Programme, which assessed future possibilities and outlined the path towards the desired social and economic goals.

The outcome for 1969 does not compare unfavourably with achievements in the 1960s. The rise in production, at about 4 per cent, was in line with the average for the decade. Industrial employment rose strongly, net emigration was relatively small, and the rate of productive investment reached record levels. But wage settlements in 1969 caused a sharp rise of production costs and boosted consumers' expenditure. The current deficit of the balance of payments reached over 4 per cent of GNP. Pay increases already awarded will put further pressure on costs in 1970, and they may set the pattern for the large number of wage agreements due for renegotiation in the course of the year. The rise in private consumption which now seems likely in 1970 would run counter to the pattern of economic growth envisaged in the Third Programme, and it could lead to a further large balance of payments deficit. Although the Irish economy is basically in a good position to continue the industrial progress of the last decade, a continuation of the strong rise in labour costs and private consumption could jeopardise the fundamental aims of long-term economic policies.

I RECENT TRENDS

Demand

Real GNP rose by about 4 per cent in 1969, somewhat less than the exceptional increase in 1968, but in line with growth of productive capacity (Table 1). As suggested by the capital account of the

government budget, industrial intentions surveys, and earlier agreements with foreign enterprises on investment projects, fixed capital formation seems to have shown a further strong increase. In the first nine months of the year government capital expenditure was more than 20 per cent higher than in the same period of 1968. Imports of producers' capital goods (excluding ships and aircraft) which provide an indication of private productive investment activity, hesitated early in the year, probably because of industrial disputes, but they then advanced strongly through the third quarter. The movement of private housing starts has been erratic but cement sales indicate that overall activity in the building industry is on a steadily rising trend. Preliminary indications of agricultural output and sales suggest some further increase in agricultural stocks, and the FII/ESRI[1] quarterly industrial surveys point to some moderate stock building in the industrial sector.

Consumer demand remained strong, despite restrictive fiscal measures taken in late 1968 and the tightening of monetary and fiscal policies in the course of 1969. The trends of retail sales, turnover tax receipts and imports of consumer goods were buoyant through the third quarter. In the year as a whole the volume of private consumption probably rose by about 4 per cent and the value by about 11½ per cent. Several factors played a role in sustaining consumer demand. In the first half of the year the ready availability of money made it relatively easy to obtain either bank or hire-purchase credit to finance consumption. In the same period there were signs of anticipatory purchases of consumer goods before the increase in the wholesale tax on June 1st, and expectations of higher incomes and prices may have led to a fall in the savings ratio. As monetary conditions became tighter in the second half of the year, income increases and higher employment in urban activities became increasingly importants and the rise in consumers' expenditure showed little sign of slackening. Public consumption rose strongly in value terms (about 13 per cent) but much of the increase represented wage increases; in real terms the rise was about 3 per cent.

Although the 1969 increase in exports of goods and services was more moderate than in 1968, total final expenditure nonetheless rose by as much as 15½ per cent in value and 7 per cent in volume, entailing sharp rises in imports of goods and services (18 per cent in value and 12 per cent in volume) and the current external deficit.

1 Federation of Irish Industries and the Economic and Social Research Institute.

Table 1 **Growth of GNP**
Per cent volume changes from previous year

	1966	1967	1968	1969	1969-1972 average[1]
Consumers' expenditure	2.5	2.4	6.3	4.0	3.3
Public current expenditure	1.5	4.9	10.0	3.0	3.7
Fixed capital formation	−3.9	7.0	13.2	14.9	6.8
Change in stockbuilding[2]	0.9	−0.7	1.4	2.3	
Total domestic demand	−0.8	1.9	10.3	7.0	4.1
Exports	8.3	12.5	9.2	6.6	9.0
Total final expenditure	1.4	4.7	10.0	6.9	5.5
Imports	0.9	4.6	16.9	11.8	8.6
Net factor income from abroad	−2.6	8.2	11.6	0.0	2.5
GNP	1.4	4.9	6.9	4.0	4.0

1 Third Programme projections.
2 As per cent of GNP.
Source : Irish submission to the OECD.

Output and Employment

The expansion was once again led by industrial production. In the third quarter output in manufacturing was about 7 per cent higher than in the same period of 1968, and the September FII/ESRI survey suggested a strong trend of industrial output during the rest of the year. In the year as a whole industrial production may have risen by about 8 per cent, despite the loss of output associated with the maintenance men's dispute. Gross agricultural output rose somewhat but inputs have been running at an exceptionally high level and net output has probably shown little, if any, change. Output in the services sectors in expected to have grown in line with the past trend of 3-3 ½ per cent per annum.

Between the third quarters of 1968 and 1969 the rise in employment in manufacturing was exceptionally rapid (6.4 per cent). But the trend of replies to the FII/ESRI surveys indicated decelerating growth of employment during the rest of the year. With employment in the construction industry also rising, but some fall in the numbers engaged in mining, quarrying and turf, the year saw an increase in industrial employment of about 4 per cent (Table 2). The steady rise in employment in services continued whilst there was a further substantial fall in the numbers employed in agriculture. The overall increase in

employment, drawing together the changes mentioned above, was 4 000, with a somewhat faster than usual move from agricultural to industrial employment.

Table 2 **Employment by Sector**[1]

	Thousands	Annual per cent changes			
	1969[2]	1958-67	1968	1969[2]	1969-72[3]
Industry	315	2.3	2.0	4.0	2.5
Manufacturing	214	2.0	1.5	4.9	..
Other	101	2.8	3.1	2.0	..
Other non-agricultural	453	0.7	1.1	0.9	1.2
Agriculture, forestry, fishing	301	−2.6	−2.8	−3.8	−3.0
Total Employment	1 069	0.0	0.2	0.4	0.4
Labour force	1 127	0.0	0.5	0.1	..

1 The figures refer to April of each year.
2 Preliminary estimate.
3 Third Programme projections.
Source : Irish submission to the OECD.

In April, the month to which labour force estimates refer, unemployment was 3 000 below the 1968 figure and since then the number of registered unemployed has been lower nearly every week than on the corresponding dates a year earlier. Between the third quarters of 1968 and 1969 the unemployment ratio fell from 6.0 per cent to 5.6 per cent, with particularly sharp declines in manufacturing industry and the building and construction industries.

As employment has increased so has evidence of bottlenecks on the labour market. Replies to the September industrial survey showed that, among firms who could not produce more with present resources, a higher proportion was being hampered by labour shortages (40 per cent) than by insufficient capacity (32 per cent). Given the relatively high unemployment ratio and the reserve of labour remaining in the agricultural sector, this surprising result gives some indication of the need for strengthening manpower policies. The proportion of firms unable to increase production because of skilled labour shortages has been increasing, and there are virtually no skilled workers registered for employment with the Employment Service. Several industries have reported shortages of all types of female labour, and care has had to be taken in locating new industrial plant not to create local shortages of all categories of labour.

Wages, Prices and Costs

Wage developments in 1969 were dominated by a major strike early in the year arising from a dispute over wage rates for maintenance craftsmen working throughout industry. After a prolonged strike involving 1 500 maintenance workers, but putting 30 000 to 40 000 persons out of work, the settlement gave increases of 20 per cent on basic rates of pay phased over an eighteen-month period from 1st January 1969. There was a danger that the size of this settlement might result in current agreements not being allowed to run their full course[1]. This danger was largely averted, although the autumn agreement with the building workers did overlap the previous settlement by one month. But it soon became clear that as existing agreements came up for renewal the size of the increases sought, and in many cases conceded, was being strongly influenced by the maintenance craftsmen's agreement. In some industrial settlements up to November 1969, which could be thought of as the first of the twelfth round agreements, the average annual increase in basic weekly wages amounted to about 14 per cent. A further aspect of the new agreements is that they have frequently been made to cover somewhat less than the normal two year period, probably reflecting a wait-and-see attitude on the part of the unions as the maintenance men's agreement will be coming up for renegotiation in June 1970.

For clerical and salaried employees in the public sector an agreement was made for the year from 1st June 1969. The settlement provided for increases of 3-4 per cent with somewhat larger increases for the lowest paid workers. Increases in accordance with these principles were applied widely to the Civil Service, Local Authorities and state-sponsored bodies.

In looking at year-to-year developments, it is most meaningful to compare the middle two quarters of 1968 and 1969[2]. In this period average weekly earnings per man in manufacturing industry were 12 ½ per cent higher than a year earlier (Table 3), reflecting not only increases negotiated during 1969, but also the effects of earlier wage bargains and a certain amount of drift at the local level. If the full year-to-year increase in earnings were to approach these levels—and the loss of

1 It is convenient to talk of wage developments in terms of the traditional biennial cycle of wage rounds, although the authorities have been encouraging a more even spread of wage negotiations and phased increases over the normal two-year life of the agreement. Many agreements under the eleventh roud since the ending of wage controls after the war were due to terminate in late 1969 or early 1970.

2 First quarter figures were distorted by the maintenance dispute (for example, the earnings figures relate to the quarter as a whole, whereas unemployment figures were recorded after the strike had ended) and complete data for the fourth quarter are not yet available.

earnings associated with the maintenance strike in the first quarter may well be offset by the earnings increases under the extremely high fourth quarter settlements—it would be the largest recorded during the 1960s. It would be all the more striking in that it occurred in a non-wage-round year, although the recent increased phasing of bargains and the increases which they grant has probably tended to smooth the two year "step" effect which is noticeable in earlier figures for earnings.

Table 3 **Developments in Manufacturing Industry**
Annual per cent changes

	1960-66 Average	1967	1968	1969[1]
Average weekly earnings per man	7.2	7.1	8.5	12.3
Output (volume)	5.8	7.7	10.9	8.9
Employment[2]	2.5	1.7	1.9	6.3
Output per man	3.2	5.9	8.8	2.4
Earnings per unit of output	3.9	1.0	−0.3	9.6
Real earnings per man	3.0	3.8	3.6	4.4

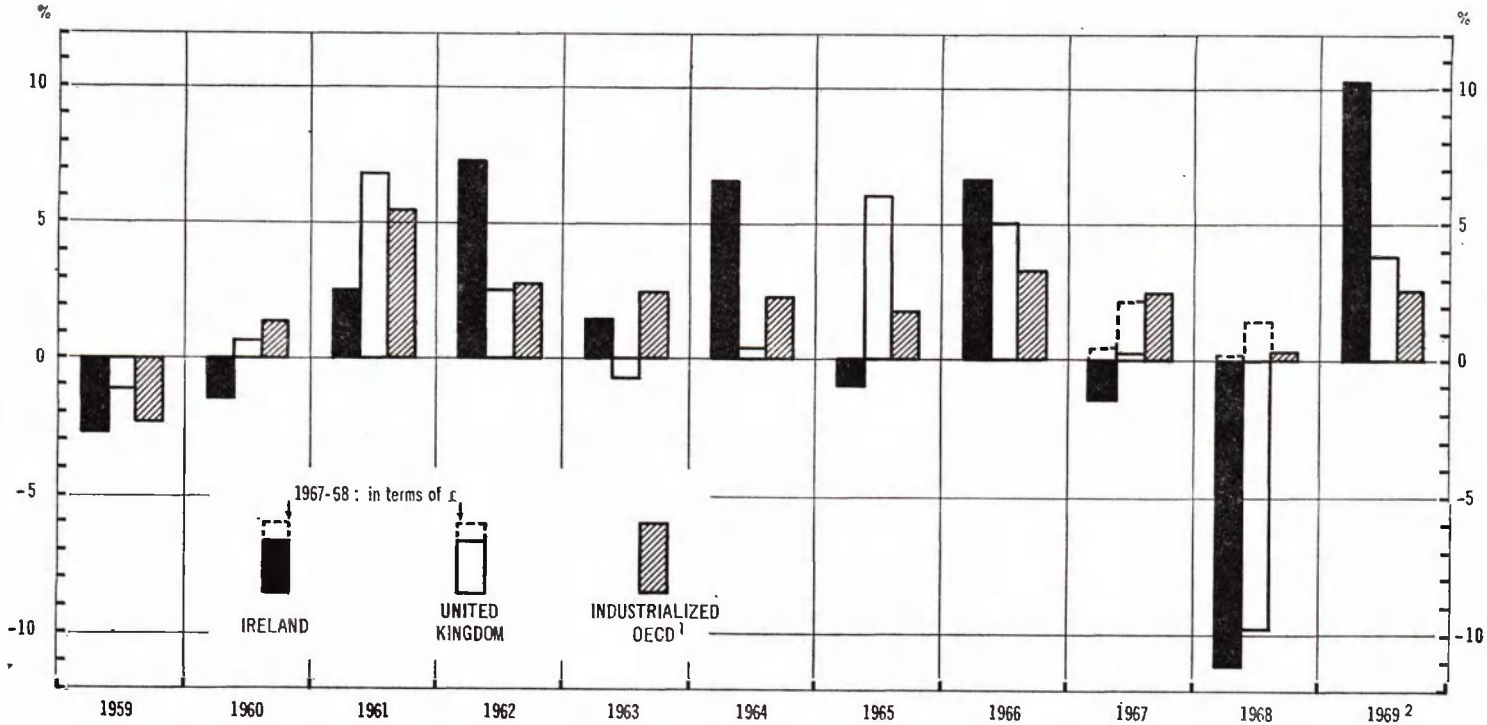
1 Second and third quarters.
2 April to April.
Sources : Irish Statistical Bulletin; Irish Submission to the OECD.

Manufacturing output rose by about 9 per cent between the two middle quarters of 1968 and 1969, accompanied by a rise in employment of over 6 per cent and little change in weekly hours per man. The growth of productivity—about 2 ½ per cent, or somewhat below the average for the 1960s—thus fell back from the exceptionally high rates achieved as spare capacity was absorbed in 1967 and 1968. The movements of earnings and productivity suggest that wage cost pressures on manufacturers must have increased considerably, with earnings per unit of output rising by as much as 9½ percent. This contrasted with Ireland's favourable experience in the previous two years, and unit labour costs rose much more than in the United Kingdom, Ireland's major export market, and in most other OECD countries (Diagram 1).

Retail prices and the GNP price deflator rose exceptionally quickly in 1969, both showing increases of about 7½ per cent over 1968. About two-fifths of the increase in consumer prices can be accounted for by higher indirect tax rates, introduced at the retail level in November 1968 and May 1969 and at the wholesale level in January and July 1969. Food prices also rose sharply, accounting for at least a further quarter of the rise in retail prices. They were led by beef prices, which are largely determined by prices on export markets, but there was also some

Diagram 1 **Trends in unit labour costs**

Percentage change from previous year



1. Industrialised OECD countries (excluding the United Kingdom) weighted together the according to their estimated importance for Irish foreign trade (1962-64 average).
2. Estimate.

Source : OECD Secretariat.

Note : Unit labour costs are defined as the total cost of wages, salaries and associated employer outlay per unit of output in the manufacturing sector. For the purpose of international comparison national data have been converted to dollars at current exchange rates; a devaluation is thus registered as a reduction in unit labour costs. For 1967 and 1968 the changes are also given in terms of national currencies for Ireland and the United Kingdom. The comparability of the indicators may not in all cases be completely satisfactory and the estimates should therefore be considered as a rough measure of trends.

increase in the prices of foodstuffs produced largely for the domestic market, notably potatoes and bread. A further portion of the increase was attributable to the 5½ per cent increase in import prices. The increases in retail prices largely reflected wholesale price movements, apart from the somewhat different incidence of indirect tax changes. The general index of wholesale prices rose by 8 per cent in the year up to November 1969, with the largest increases occurring in food and those categories most affected by the wholesale tax increases. The rate of increase of both wholesale and retail prices moderated somewhat during the year.

Table 4 **Price Movements**

Per cent changes from previous year

	1961-66 Average	1967	1968	1969[1]
Products of agriculture	2.6	2.1	10.2	3.4
Materials used in industry[2]	2.4	3.0	5.3	4.8
of which : home produced	2.2	5.1	3.5	0.4
imported	2.5	2.4	5.9	6.1
Output of industry	3.2	3.7	4.5	7.1
General wholesale index	2.9	2.6	6.0	7.3
Retail prices	3.9	3.2	4.7	7.4[3]
of which : food	3.2	1.9	5.7	6.0[3]
alcoholic drink & tobacco	6.3	5.3	4.2	11.3[3]
household durables[4]	2.1	4.4	1.9	7.3[3]

1 First eleven months only.
2 Including construction.
3 Full year.
4 Including cars.

Source : Irish Statistical Bulletin.

The Balance of Payments

Merchandise trade

Merchandise exports rose by about 11 ½ per cent in value between 1968 and 1969. The volume increase of about 6 ½ per cent was somewhat smaller than in recent years, mainly due to sluggishness of agricultural exports, and probably affected by labour disputes and industrial stoppages in 1969. But the increase in unit values which began following the devaluation in late 1967 continued into 1969. The value of merchandise imports increased by about 19 per cent, or 16 per cent excluding exceptional imports of aircraft for the

Aer Lingus re-equipment programme. Excluding aircraft imports, the volume increase fell back only slightly from the high 1968 rate of close to 13 per cent, and unit values continued to rise rapidly. These developments combined to bring a further deterioration of the trade balance from a deficit of $394 million (£164 million) in 1968 to one of $515 million (£219 million) in 1969.

The rise in exports[1] to the United Kingdom, which currently account for about two-thirds of Irish exports, slowed down sharply in 1969 (Table 5). Much of the deceleration was accounted for by a fall in the value of agricultural exports after the rapid increases in 1967 and 1968. Sales of live cattle and fresh or chilled beef, which account for over 50 per cent of agricultural (and almost 30 per cent of total) Irish exports to the United Kingdom, fell by about 5 per cent in value and about 9 per cent in volume. In part the fall was caused by the completion of the restocking of cattle in the United Kingdom after the foot and mouth epidemic of late 1967; moreover, there may have been some shortage of marketable cattle in Ireland following the heavy sales in 1968. There may also have been some switch to exports of frozen beef to other destinations, and the high prices prevailing on the domestic market and the credit restrictions in Britain also hampered cattle exports. These developments coincided with slower growth of industrial exports to the United Kingdom. Irish exporters of industrial goods increased their share on the British market at the expense of suppliers from non-devaluing countries, but this was not sufficient to offset the effects of less rapid growth of domestic demand in the United Kingdom. Thus, the sterling value of total Irish exports to the United Kingdom grew by only about 3 per cent compared with 14 per cent in 1968 and a longer term average of about 9 per cent.

Exports of non-agricultural goods to countries other than the United Kingdom have been the main stimulus to Irish exports in recent years. In 1969 they benefited from the full effects of the devaluation, and with world trade buoyant, their volume rose rapidly. In addition, unit values continued their steady rise, with much of the 1969 increase falling on raw materials (mainly ores) and fuels, and the value of non-agricultural exports other than to the United Kingdom rose by about one quarter. Exports of agricultural produce are rather less important than in trade with the United Kingdom, accounting for about 20 per cent of exports

1 A detailed breakdown of merchandise trade is not available for the full year and the discussion which follows is based on developments in the year up to January to September 1969.

to other countries; sales are restricted by the high Common Market levies and the North American market for frozen beef is now the most important outlet. In recent years such sales have risen rapidly from a relatively small base but, although 1969 showed another substantial increase, they are now being affected by voluntary quota restrictions agreed to by all the major suppliers.

Table 5 **Merchandise Exports**

	Annual per cent changes			Share in 1969
	1960-67	1968[1]	1969[1]	total[1]
Value, total	9.3	16.6	10.3	100
of which to :				
UK	8.9	14.1	3.0	66
EEC	15.8	15.1	37.1	11
N. America	13.0	23.2	26.2	12
Other	4.9	32.1	22.5	11
of which :				
Agricultural produce	8.3	7.6	4.1	46
Industrial products	12.3	28.4	18.6	49
Unclassified	1.6	13.2	−2.5	5
Export unit values	1.4	7.4	4.6	..
Volume of exports	7.8	8.6	5.4	..

1 January to September only.
Source : Trade Statistics of Ireland.

The sharp increase in the sterling value of merchandise imports after the devaluation continued into 1969 (Table 6), although the rate of increase seems to have moderated somewhat during the year. The devaluation has led to some substitution of imports from the United Kingdom for imports from other countries: in addition to the devaluation of sterling, the United Kingdom has the advantage of the progressive dismantling of Irish tariff barriers under the terms of the Anglo-Irish Free Trade Agreement[1]. There is little evidence that the Irish devaluation has led to any widespread substitution of domestic production for imports.

Greatly increased gross domestic capital formation led to a surge in imports of finished producers' capital goods which, excluding aircraft imports for the Aer Lingus re-equipment programme, rose by over

1 According to the Free Trade Area Agreement of 1965 between Ireland and the United Kingdom, all trade restrictions on imports from the United Kingdom are to be removed by steps in ten years, ending 1st July, 1975.

Table 6 **Merchandise Imports**

	Annual per cent changes			Share in 1969
	1960-67	1968[1]	1969[1]	total[1]
Value, total	8.1	22.1	18.9[2]	100
of which from :				
UK	8.3	22.1	28.0	54
Other sources	7.9	22.1	9.9[2]	46
of which :				
Finished producers' capital goods	13.5	16.8	36.2[2]	17
Finished consumption goods	9.4	29.0	21.0	23
Other[3]	7.8	23.0	12.2	60
Import unit values	0.7	8.3	5.5	..
Volume of imports	7.3	12.7	12.7	..

1 January to September only.
2 Excluding unusually high imports of aircraft from North America estimated at £11 million.
3 Mainly goods for further processing by industry.
Source : Trade Statistics of Ireland.

one-third in the year up to the first nine months of 1969[1]. But given the high imports of capital goods, a disturbing aspect of the trade accounts was the second consecutive increase of over 20 per cent in the value of imports of finished consumption goods. This seems to have been caused by the exceptionally rapid increase in incomes; it is noticeable that, as Irish household incomes rise, the proportion spent on imported products tends to increase.

Invisibles

There are as yet few indications of the movement of invisible earnings in 1969. Passenger movements suggest that the stimulus given by devaluation to the tourist trade was sufficient to overcome any adverse effects of the disturbances in Northern Ireland and net earnings from tourism probably rose somewhat. Net exports from Shannon Free Airport (which are included with invisibles) may have shown some decrease. Although higher interest rates abroad and increasing overseas liabilities may have led to increased outflows of interest and dividends, these were probably covered by higher investment income and remittances from abroad. A reasonable guess at the improvement on the invisible account could be $35-45 million.

Capital Movements and Changes in the Reserves

Assuming the above improvement in net invisible earnings, the current balance deficit more than doubled in 1969, reaching about $145 million (£60 million) or more than 4 per cent of GNP.

1 If aircraft are included, the increase was over 50 per cent.

The net inflow of capital probably rose considerably from 1968 levels to reach about $160 million (or about £65 million). There was a large net inflow of $110 through the non-Associated Banks, compared with an outflow of $26 million in 1968. Of this inflow, about a third went to the industrial banks and was probably associated with the rapid expansion of instalment credit. It is likely that a good part of the remainder was long-term capital destined for state-sponsored bodies and private industry. Other long-term capital transactions led to a small net outflow. The inflow included that part of direct foreign investment not financed through the non-Associated Banks, $56 million raised in Deutschmark loans by the government and the Electricity Supply Board,

Table 7 **Balance of Payments**

$ million

	1965	1966	1967[1]	1968	1969[1]
Merchandise exports, fob[2]	618	684	784	798	889
Merchandise imports, cif[2]	1 041	1 043	1 079	1 191	1 414
Trade balance	−423	−359	−295	−393	−525
Tourism, travel	111	94	112	96	
Investment income	55	47	45	56	
Other services[3]	60	72	89	(87)	
Services net	226	213	246	(239)	
Transfers, net	72	74	78	(80)	380
Errors and omissions	8	27	−102	21	
Current balance	−117	−45	−73	−53	−145
Long-term capital[4]	71	122	83	40	161
Official	2	45	5	0	85
Private	69	77	78	40	76
through non-Associated Banks	6	0	2	−26	110
other	63	77	76	66	−34
Basic balance	−46	77	10	−13	16
Non-monetary short-term capital[4]	−4	−4	1	−5	0
Balance on non-monetary transactions	−50	73	11	−18	16
IMF accounts[4]	0	12	−13	−37	−10
Miscellaneous government accounts[4]	−1	−1	−1	−1	0
Change in reserves (+ = increase)	−51	84	−3	−56	4
Associated banks	−12	−11	75	−134	−134
Central bank	−39	95	−78	78	138
Sterling	..	95	−71	−11	96

1 Secretariat estimate.
2 Excluding balance of payments adjustments.
3 Including net balance of payments adjustment to merchandise trade and net exports from Shannon Free Airport.
4 + = decrease in assets or increase in liabilities.

Sources: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Review; International Financial Statistics.

NOTE Figures for 1969 are based on incomplete data and should be treated only as rough orders of magnitude.

and trade credit of $29 million to finance aircraft imports. The lack of detailed information makes it difficult to assess the offsetting outflow of capital. Tighter monetary conditions abroad seem to have led to sizeable transfers from subsidiaries in Ireland to their parent companies overseas, although some of the outward movement was of funds brought in from abroad through the non-Associated Banks. Net purchases of foreign shares were probably limited by the poor performance of the United Kingdom and the United States stock markets.

The capital inflow was sufficent to cause external monetary reserves to rise by $4 million. The government policy of centralizing external reserves (see page 25) led to a large fall in the net external assets of the Associated Banks, and a corresponding increase in official reserves. At the end of December, external monetary reserves, including the net IMF position, amounted to $734 million (£306 million), or the equivalent of over six months' imports.

II ECONOMIC POLICY

The emphasis on expansion, still found in policy statements in 1968, gave way to concern about the balance of payments and demand restraint towards the beginning of 1969. There has been some shift towards restrictive policies in line with this change of emphasis, but the growth in domestic demand, though less rapid than in 1968, has still been considerable.

Budgetary Developments

The budget for financial year 1968/69 included a significant expansion of the capital programme. But unforeseen growth in current claims on the budget, and the prospect of a deteriorating balance of payments, necessitated a supplementary budget in November 1968, with increases in several taxes and charges. As the full effect of these measures was not felt until the next financial year, the current account for 1968/69 showed a deficit of about £8 million, brought about, inter alia, by higher salaries for government employees and increased outlays on agriculture. Expenditure on the public capital programme increased by £31 million, or more than a quarter, from the previous financial year, entailing a marked increase in borrowing from the banks.

The Budget for the financial year 1969/70 contained important concessions to social welfare and income taxation, with a view to moderating current income claims. The increased social outlay and the

income tax allowances were estimated to cost the Exchequer some £12 million. To cover this, duties on tobacco, petrol and alcoholic beverages were increased and an additional 5 per cent charge was levied on the wholesale tax on a limited range of commodities; the anticipated revenue effect was more than £9 million. After these changes, current revenue and expenditure were estimated to rise by 14 and 11 per cent, respectively, and the current budget was expected to be in balance (Table 8).

The large rise in the public capital programme for 1969/70, £26 million or 18 per cent, was largely accounted for by purchases of new aircraft. Excluding these and the other transport companies, the increase was only 11 per cent, in current prices, compared with the 6 per cent volume rise envisaged in the Third Programme. As shown in Table 8, the increase in appropriations was centered on industrial development as well as building and construction: the former group included an increment of £3.5 million in grant payments to private industry and for industrial estates.

Developments in 1969 seem to suggest that the budget estimates are on the low side. In April-December 1969, current revenue was 22 per cent higher than one year earlier, compared to the 14 per cent increase expected in the budget; the corresponding rates for expenditure were 16 and 11 per cent, respectively. If the rise in the GNP-deflator is taken to be 7 per cent, the real rise in central government revenue and expenditure was still well in excess of the GNP growth.

The current deficit for the three first quarters of the financial year was £7.9 million, a reduction of close to £11 million, or 1 per cent of GNP, from the year before. As large tax revenues in the last quarter of the financial year usually bring about a current surplus in this quarter, it is likely that the financial year 1969/70 will close without a significant surplus or deficit. The net effect on domestic demand of the improvement in the budget outcome is difficult to quantify. Large social expenditures, involving redistribution of income through taxation in favour of the very low income classes, point to a rather high demand effect of the expenditure side of the budget. The contractionary effect of the change in the current balance may, therefore, have been small.

Furthermore, on the capital side, increased allocations have been made during the year on industrial grants, housing, airport construction and other headings of the capital budget. Expenditure on the public capital programme as a whole is now expected to be in excess of £170 million, which represents an increase of about £30 million, or 21 per cent, over 1968/69 (excluding aircraft, £17 million or 15 per cent).

Table 8 **Budget 1965/1966 - 1969/1970**

£ million

	Actual				Estimated
	1965-66	1966-67	1967-68	1968-69	1969-70
A CURRENT BUDGET :					
Receipts :					
Tax Revenue :					
direct	68.9	78.1	88.1	101.1	111.1
indirect	125.3	143.5	159.9	181.2	210.1
motor vehicle duties	9.6	10.4	11.6	12.7	13.1
Total	203.8	232.0	259.6	295.0	334.3
Other	37.0	40.8	45.8	50.5	58.9
Total	240.8	272.8	305.4	345.5	393.2
Expenditures :					
Service of public debt	49.0	56.5	64.3	76.6	88.9
Social services	84.2	93.1	102.9	119.5	139.2
Economic services :					
Industry	4.7	4.8	6.6	8.2	9.4
Agriculture	35.8	40.8	53.3	60.6	65.2
Other	14.7	14.3	15.3	17.2	17.3
General Services	43.0	44.1	46.4	51.4	53.6
Other expenditure (net)	16.6	17.0	18.2	20.3	19.5[1]
Total	248.0	270.6	307.0	353.8	393.2
Deficit (−) or Surplus (+)	−7.2	+2.2	−1.6	−8.3	0.0
B CAPITAL BUDGET :					
Sources of finance :					
Local authorities and state bodies	31.4	33.2	34.8	51.4	66.0
Exchequer	94.3	77.7	85.8	129.8	120.7
Total	125.7	110.9	120.6	181.2	186.7
Expenditures :					
Public capital programme :					
Building and construction, ports, etc.	35.5	36.8	43.7	51.6	56.7
Agriculture, forestry, fisheries	21.0	19.0	20.7	23.3	22.9
Industry	11.4	10.7	12.6	18.9	24.5
Fuel and power	13.5	14.5	14.6	18.9	19.8
Transport and communications	16.7	15.4	17.3	26.0	40.2[2]
Tourism and miscellaneous	1.2	1.2	1.5	2.2	2.7
Total	99.3	97.6	110.4	140.9	166.8
Other[3]	26.4	13.3	10.2	40.3[4]	19.9
Total capital expenditure	125.7	110.9	120.6	181.2	186.7

1 Includes a deduction of £2 million as allowance for errors of estimation.
2 Includes £23 million for payments on aircraft (£8.5 million in the previous year).
3 Includes the financing of current budget deficits.
4 Includes payments of £13.9 million to the IMF and World Bank, balanced by a corresponding receipt from the Central Bank.

Sources : Budget documents 1965-1969 and Irish submission to OECD.

NOTE The fiscal year runs from the 1st April to 31st March.

Given the nature of the increases in Government spending in 1969/70—social outlays and capital items with high multiplier effects on demand—the increase in public expenditure may have been an important factor behind the growing pressures on resources. It is possible, therefore, that very strong measures on the revenue side of the budget would have been necessary to offset the expansionary effect of growing government spending.

Credit Policy and Developments

Credit conditions in the twelve months ending April 1969 were easier than originally envisaged; domestic lending by the Associated Banks rose by £106 million (23 per cent), compared with the Central Bank's advice that credit should not be allowed to expand by more than £64 million. The upsurge in net credit in the first quarter of 1969 was undoubtedly an important factor in increasing the pressure of domestic demand.

In view of these developments, and the growing balance of payments deficit, the Central Bank re-emphasized the need to reduce inflationary pressures and to guard against an undue fall in external reserves. The new guidelines issued for credit policy in the year ending April 1970 took account of the fact that the tighter liquidity position of the Associated Banks would in any event lead them to adopt a stricter lending policy. The upper limit for additional lending was thus set at £75-£80 million. The borrowing requirement for the Government for the public capital programme was set at £50 million, leaving some £25-£30 million available to non-Government borrowers. It was stressed that new credit to the private sector should be reserved primarily for productive purposes, particularly the export industries.

The desired squeeze did not show up immediately in the lending figures, largely because of prior arrangements on overdraft limits and certain seasonal factors, but from July onwards the credit advice seems to have been adhered to. From April to December, domestic credit extended by the Associated Banks rose by £51 million, including £29½ million of Government borrowing. The advised upper limit would allow for a further expansion of about £29 million in the remaining three months, and while more than £20 million remains designated for the Government, it is expected that the expansion of credit will not be seriously out of line with the Central Banks' advice.

Table 9 **Domestic Credit to the Economy**

£ million, end of quarter

	1966	1967				1968				1969[1]			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1 *Associated Banks*													
Bills, loans and advances[2]	356.1	355.3	368.7	384.5	392.2	422.6	440.4	432.9	455.2	495.1	516.1	506.0	504.7
Investments	50.4	49.1	49.1	48.2	48.4	50.0	48.9	89.9	87.9	87.5	85.6	108.9	108.5
Total	406.5	404.4	417.8	432.7	440.5	472.6	489.3	522.8	543.1	582.6	601.8	614.9	613.2
of which : Government	81.5	75.7	75.0	94.3	91.2	99.9	100.4	126.6	129.9	141.1	133.8	166.8	167.0
2 *Non-Associated Licensed Banks*[3]	64.2	70.5	73.0	76.7	78.4	79.7	80.0	89.2	92.5	127.1	140.7	150.1	169.9
3 *Total Domestic Credit*[4] *from the Banking sector*	470.7	474.9	490.9	509.4	518.9	552.3	569.3	612.0	635.7	709.7	742.5	765.0	783.1
4 *Central Bank Credit*													
Exchequer Bills rediscounted	1.3	—	—	—	—	—	—	—	—	3.6	8.2	2.4	1.5
Other Irish Government Securities held by the Central Bank (book value)[5]	20.5	20.5	20.5	20.5	23.5	20.5	20.5	17.6	17.6	17.6	17.6	15.4	15.2

1 As from January 1969, data relating to the Associated Banks do not include Chase and Bank of Ireland (International) Limited (formerly National City Bank Limited), which was transferred to the group of Non-associated Licensed Banks.
2 Adjusted for uncleared cheques. As from September 1969, further adjusted in respect of outstanding Government cheques.
3 Bills, instalment credit, other loans and investments according to the aggregate balance sheet of these Banks.
4 Not based on a consolidated balance sheet.
5 Mainly the balance of £20.5 million (nominal) of 6 % Funding Loan 1969, taken up by the Central Bank in September 1965. Certificates of Indebtedness which have mostly been issued in return for funds used to effect payments to international financial institutions, are not included.

Source : Central Bank of Ireland Quarterly Bulletin.

The credit advice was based on the assumptions that deposits with the Associated Banks would increase by £45 million and exports by £40 million, while the net inflow of capital from abroad, exclusive of exceptional items, would be £25 million. While most recent indicators on deposits and the capital inflow would have permitted some upward revision of the guideline, the Central Bank took the large external deficit and existing demand pressures into account, and in its December assessment, judged that any such action could not be justified.

Domestic lending by the group of non-Associated Banks[1] grew significantly—by £47 million between the first quarters of 1968 and 1969. While the Central Bank advice set no upper limits on their lending, these banks were expected to conduct their activities in such a way as to bring about a net inward movement on capital account with abroad of about £5 million over the year to April 1970.

In the nine months to end-December 1969 there was an increase of £43 million on domestic lending by the non-Associated Banks. In the same period the net inflow of funds from abroad amounted to £30 million, the remainder of their increased lending being financed by domestic sources. The influx of foreign funds was thus in excess of the guideline, and may remain so even if it tapers off in the remaining months. This externally financed lending has undoubtedly given some boost to domestic demand, but it cannot be considered a primary cause of either the present domestic demand pressure or the growing deficit on the current account of the balance of payments.

Table 9 summarizes the development of domestic credit by quarters. At end-December 1969, total domestic credit from the banking sector stood at £783 million, 23 per cent higher than a year earlier. As real output may have increased in the same period at an annual rate of 4-5 per cent, with prices rising by some 7 per cent, credit developments

1 These are divided into (*i*) Merchant and Commercial banks and (*ii*) Industrial banks, and comprise, broadly speaking, subsidiaries and affiliates of the Associated Banks and foreign banks. A good part of their activities relates to accepting money from abroad and re-investing it in Ireland. The advice on credit ceilings is not usually applied to their lending, but they are expected to observe the guidelines set for net capital inflow. The relative importance of this banking group has been increasing; whereas they provided about 15 per cent of domestic credit at the end of 1966, this proportion has risen to reach about 25 per cent in 1969. A part of the increase, however, is accounted for by the transfer of the Chase and Bank of Ireland (International) Limited to the group in January 1969.

Table 10 **Money Supply**
£ million, end of period

	1966	1967				1968				1969			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Domestic Credit[1]	428.3	424.9	438.3	453.2	463.9	493.1	509.8	540.5	560.7	603.8	627.6	632.7	629.9
Less Other net domestic liabilities	18.4	20.2	22.0	21.9	19.4	28.7	28.8	28.8	21.9	27.7	30.1	26.2	20.1
Equals Total domestic assets	409.9	404.7	416.3	431.3	444.5	464.4	481.0	511.7	538.8	576.1	597.5	606.5	609.8
Less Deposits	326.5	336.5	349.5	367.5	385.1	389.9	400.7	423.3	448.2	461.4	479.1	494.5	513.6
Equals Net credit	83.4	68.2	66.8	63.8	59.4	74.5	80.3	88.4	90.6	114.7	118.4	112.0	96.2
Plus External reserves	253.1	266.6	266.2	292.2	299.4	291.2	272.9	295.5	291.5	284.3	263.0	277.9	297.4
Equals Money supply	336.5	334.8	333.0	356.0	358.8	365.7	353.2	383.9	382.1	399.0	381.4	389.9	393.6

1 Credit extended by the Associated Banks and by the Central Bank (equals the sum of items 1 and 4 in Table 9).
Source : Central Bank of Ireland Quarterly Bulletin.

have evidently not set any strong limitations to domestic demand and the foreign deficit. The liquidity of the banking sector showed a further slight tightening in 1969 as a whole.

Changes in the money supply and its main components are shown in Table 10. The sizable increase during the first quarter of 1969 was followed by a contraction of similar size in the second, and moderate growth thereafter. The rise was accounted for by net credit, and the fall by the subsequent diminution of external reserves. Major additions to the money stock in the third quarter were derived from invisible export earnings and net capital inflows. Altogether, the growth in money supply was more modest in 1969 than in 1968, though the ratio of deposits to domestic credit decreased a little.

The close integration between the British and Irish money and capital markets makes it difficult to obtain a complete picture of the monetary situation and developments in Ireland, or to assess the effects of monetary measures. Under the present system, Irish firms are entitled to obtain funds directly from British banks and other financial institutions; these capital flows are not separately identified in the balance of payments, nor in monetary statistics. However, the net inflow through the non-Associated Banks, which was very large in 1969, is shown separately. On the other hand, it is not possible to determine to what extent these are offset e.g. by unidentified transactions between subsidiaries and parent companies overseas.

A rough analysis of the Associated Banks' advances suggests that the desired changes in the allocation of credit have been slow to come about (Table 11). In the group of primary industries the share of house-building shows a slight increase, while that of agriculture declined in 1969. Advances in the "personal" category rose faster than those to manufacturing—providing some indication of the delay in responding to the Central Bank's advice. According to the most recent indicators, however, the banks seem to be succeeding in putting more restraint on credit for consumption purposes.

Hire purchase credit is a further source of advances for consumption purposes. In the twelve months to March 1969, the total of outstanding instalment credit grew by £11 million, or 18 per cent; the increase in hire purchase agreements, much of which relates to consumer items, was £4.4 million, or 9 per cent. The Budget measures of November 1968 were reinforced by tightening the terms of hire purchase and credit-sale contracts, but the growth went on almost unabated; gross advances on hire purchase agreements increased by a further £6.3 million in the six months to September 1969, total instalment credit increasing by £10.4 million.

In January 1970 the Government tightened considerably the restrictions on hire purchase and instalment credit transactions.

Table 11 **Advances of Associated Banks by principal categories of borrowers**
per cent of total

	20 Feb. 1968	18 Feb. 1969	18 Nov. 1969
Primary and Construction	15.9	16.5	16.1
Manufacturing	17.9	19.4	19.4
Financial[1]	4.5	4.0	2.6
Services	26.7	27.5	27.3
Personal	10.2	11.9	12.5
Government	13.7	10.9	13.5
Other[2]	11.1	9.8	8.6
	100.0	100.0	100.0

1 Hire purchase financial companies, property companies, etc.
2 Schools, charities, churches, hospitals, etc., local authorities and unclassified.
Source : Central Bank of Ireland Quarterly Bulletins.

Partly as a result of developments abroad, there was a general rise of interest rates during the first half of 1969. The Central Bank rediscount rate moved from a daily average of 6.9 per cent during the fourth quarter of 1968 to 8.5 per cent in the second quarter 1969, higher than the emergency rates resorted to after devaluation. The Associated Banks raised their ordinary overdraft and deposit rates in March by one percentage point; in September, another half of a percentage point was added to bring them into line with other rates. Yields on Government bonds were about 2 per cent higher in December 1969 than a year earlier.

Objectives on the Money Market

The Central Bank has recently taken steps aimed at making monetary policy more effective and improving the functioning of the credit market. Greater centralisation of external monetary reserves in the Bank was considered desirable in order to bring the community's stock of external assets better under control and facilitate the task of the Central Bank in playing an active role on the domestic money market. Thus, in November 1968, £40 million of the Associated Banks' sterling reserves were transferred to the Central Bank in connection with the Basle Agreement for the support of sterling of September 1968, whereby the United

Kingdom gave exchange guarantees in terms of US dollars for official reserves held in sterling. The final agreement reached in the Summer of 1969 provided for the transfer of the greater part of the Associated Banks' external reserves to the Central Bank. Consequently, the reserves of these banks dwindled by £56 million to £19 million in the year to end-December 1969, while the foreign assets and gold holdings of the Central Bank increased by £88 million.

Another, and more important, objective is to provide internal sources of liquidity for the banks by extension of domestic money market facilities. In order to attract funds which might otherwise be placed at call and short notice in London, the Central Bank since August 1969 has broadened the range of deposits which it is willing to accept. Though still small in relation to money held in London, the banking sector's deposits with the Central Bank rose by some £20 million in the four months to the end of December. In addition to accepting short-term funds, the Bank has commenced dealings in short-dated Government securities in order to improve their marketability, and has diversified its own portfolio accordingly.

Up to now effective domestic credit control has occasionally been hampered in the short-run by the existence of prior unutilized overdraft commitments. It is, therefore, intended to replace much of the credit granted in the form of overdrafts by negotiated term-loans subject to specific terms of reduction, reserving the overdraft system for fluctuating short-term credit. A new structure of lending rates, to be adopted at the same time, is expected to favour a more effective allocation of credit. The reform must await some further study of the technical problems involved but it is hoped that it will be introduced in the course of 1970.

The new emphasis on suitable Irish outlets for money will be reflected in the liquidity ratios of the banks, as specified from time to time by the Central Bank in accordance with credit policy requirements.

III MEDIUM-TERM PROGRAMMING

From Economic Stagnation to Growth

The First Economic Programme (1959/60 to 1963/64) was designed to break the stagnation of the Irish economy, and to restore confidence in future development after the severe crisis in the middle of the 1950's. It took stock of the country's resources and the need for their reallocation

to productive investment. At that time, with an economy heavily dependent on agriculture, deflationary measures to cope with balance of payments difficulties led to a fall in production and productive investment, and a sharp rise in unemployment and net emigration. The Second Programme presented a wide range of qualified targets within the national accounting framework. It covered the seven years 1964-70, and was co-ordinated with the United Nations' and the OECD's efforts to make the 1960's a decade of economic development. A more growth-minded climate had by then been created in Ireland; in fact the increase of output did not fall very much short of the OECD-average which exceeded the 50 per cent growth target for the 1960's. After the review of progress, published in April 1968, it was decided to prepare a new programme. This included the terminal years of the Second Programme and took into account the changed conditions for external trade and agriculture which followed new assumptions about membership of the EEC. The Third Programme, covering the four years 1969-72, was laid before Parliament in March 1969.

The aims of the first two programmes were, generally, to increase efficiency in agriculture and industry, set in motion export-based industrial growth, create new employment opportunities for labour leaving the land and reduce unemployment and net emigration. Policies conducive to these objectives consisted, inter alia, of a government aid programme to productive investment, favourable conditions for new establishments, and remission of taxes on export profits and other aid to exports. Government expenditure gave priority to purposes which promoted production; to release real resources for these purposes social investment was temporarily held in check. A basic aim of government policies was the freeing of trade and closer integration of the Irish and world economies.

Table 12 **Growth of the Irish Economy**

	1951-58	1958-68
Annual averages :		
Growth of GNP		
OECD Europe	4.4	4.8
Ireland	0.7	4.1
Growth of employment[1]	−1.9	0.0
Number of unemployed, 1 000[2]	64	52
Number of emigrants (net), 1 000	42	22

1 1952-58.
2 Live register total.
Sources : Statistics of National Accounts, OECD; Irish Submission to the OECD.

The programmes were highly successful. They contributed to the creation of more growth-minded attitudes on the part of management and labour. The annual growth rate of output was raised substantially to 4.1 per cent in the years 1958-68; thus, the gap between the Irish and the overall OECD growth rates has almost disappeared (see Table 12). Business fixed investment has increased sharply, the ratio of total fixed investment to GNP rising from 13 per cent in 1958 to 20 per cent in 1968. Exports of goods and services have expanded twice as fast as domestic output; the expansion was even stronger for exports of industrial products. Unemployment and net emigration have been reduced.

The Third Programme, 1969-72

Basic Aims and Assumptions

Continued export-led rapid industrial growth and further diversification of the economy remain basic objectives of present medium-term policies. But it is thought that a stage of development has now been reached where the authorities should give greater attention to how the fruits of the progress are to be used in the light of the problems of the modern society. The target growth of output would give room for a considerable improvement of living standards for all social groups and provide a higher level of employment. However, in view of the increasing capital costs needed to create new jobs, and given the structure of the economy including the large number of under-employed on the land, it is expected that in the immediate future progress towards full employment will consist of transferring people from low-income, part-time occupations to better-paid, full-time work, rather than of registering substantial increases in the numbers actually recorded as being at work. Unemployment, estimated at 3.7 per cent of the labour force in 1972, is thus expected to remain high by European standards; the NIEC[1] estimated in 1967 that the achievement of full employment would need sustained effort to raise the long-term growth rate to as high as 5½ to 6½ per cent. Emigration (net) is likely to continue, although at a lower level than in past years, but the population is expected to exceed 3 million in the first half of the 1970's.

In assessing opportunities and aims, it was assumed that the Irish economy would face increasing international competition. Irish tariffs will be reduced in accordance with the Kennedy round and the Free

1 National Industrial Economic Council.

Trade Area Agreement with the United Kingdom, while the advantages given by preferences in the United Kingdom market, which still are of some importance in competition with countries outside EFTA and the Commonwealth, will be reduced. Moreover, an increasing share of domestic output would have to be sold abroad. Conditions abroad would be of particular importance for monetary, labour market, and incomes policies, as the free mobility of capital and labour between Ireland and Great Britain has led to close integration between the two economies in these areas. Thus, despite the lower income levels in Ireland, in general there is a tendency for wages and other categories of incomes to reflect developments in Great Britain. As regards economic integration with the rest of Western Europe, the Third Programme was prepared, inter alia, to take into account the changed perspectives of Irish access to EEC markets. The Programme does not make any attempt to assess the implications of membership of the EEC, since it was decided in drawing it up not to place any reliance on such membership in the immediate future.

Growth in 1969-72

The expected growth of output in 1969-72, a little more than 4 per cent annually, is in line with the average for OECD-Europe, according to preliminary OECD projections for this area for the 1970s. Overall employment is expected to increase only slowly, 0.4 per cent annually, considerably less than the projected annual increments to population of working age (0.7 per cent) or total population (also 0.7 per cent). Higher school attendance and a tendency towards earlier marriage are expected to lead to lower labour force participation rates.

Table 13 **Growth of Employment and Output**
Annual rates

	Outcome 1958-68			Programme 1969-72		
	Employ-ment	Output Per head	Output Total	Employ-ment	Output Per head	Output Total
Agriculture, forestry and fishing	−2.6	4.9	2.2	−3.0	5.1	2.0
Industry	2.2	4.7	7.0	2.5	3.9	6.5
Other domestic	0.7	2.4	3.1	1.2	2.1	3.3
Total	0.0	4.1	4.1[1]	0.4	3.8	4.2[1]

1 GDP at constant factor cost.

Sources: Third Programme, Department of Finance; «National Accounts of OECD Countries, 1958-67», OECD, Paris 1969.

Great variations in growth rates are foreseen between sectors. Agricultural output is forecast to grow only slowly because of the small size of the domestic market and the lack of opportunities for profitable sales in foreign markets. The number of persons engaged in agriculture is expected to continue to fall by about the same number as in recent years, reflecting increasing efficiency of production and greater opportunities in industry. Sectors other than agriculture and manufacturing industry, mainly services, are likely to grow relatively slowly, despite a rapid increase in tourism. Further industrial expansion, therefore, is expected to remain the major source of economic growth, although the advance may decelerate somewhat from the exceptionally high rate attained in the earlier stages of industrial development. Additions to output created by the establishment of new firms play a determining role in the forecast of production, exports and employment. Nearly 30 per cent of the increase of industrial output is estimated to come from new firms catering almost entirely for foreign markets; their exports are projected to account for two-fifths of the increase in the exports of goods and services from 1968 to 1972. Production and employment are expected to increase exceptionally quickly in building and construction, metal trades, electrical machinery and chemicals. Large increases are also expected in textiles.

As in recent years, the growth of production is assumed to be led by external demand; exports of goods and services may increase more than twice as fast as output, and their overall ratio to GNP in 1972 is expected to reach 43 per cent. To achieve the targets set for output and exports, the accumulation of productive capital will be kept on a high level, although the growth rate of fixed investment is forecast to decelerate compared with the 1960's. The Programme foresees a ratio

Table 14 **Classification of Investment**

	Average annual volume increase		Percentage of total		
	1958-66	1969-72	1958	1968	1972
Economic[1]	9.5	7.9	48.1	48.5	52.5
Infrastructure[2]	7.0	2.6	33.1	28.8	25.6
Social[3]	9.3	4.8	18.8	22.7	21.9
Total	8.7	5.8	100	100	100

1 Almost all investment in agriculture, industry and those services which perform a direct economic function (e.g. banking and distribution).
2 Electricity, gas and water, transport and communications, and education.
3 Dwellings, churches, hospitals, social services and general amenities.

Source : Third Programme.

of fixed investment to GNP of 23 per cent in 1972, while the NIEC thought that a 27-30 per cent level would be required to achieve full employment—an objective to be reached only by 1980. The composition of capital accumulation is not expected to be very different from its present pattern, but there have been important changes since the earlier 1960s (Table 14).

The volume of private consumption is forecast to increase along past trends, i.e., somewhat slower than output. On the other hand, government current expenditure on goods and services (real terms) will be allowed to rise a little faster than in past years, reflecting a stronger emphasis on developments of social and educational services. In these sectors government expenditure, current and capital, is envisaged to increase by 5.8 per cent annually.

Table 15 **Demand and Output**
Annual growth rates (volume)

	1958-68	1969-72
Consumers' expenditure	3.1	3.3
Government current expenditure	3.0	3.7
Gross fixed investment	9.0	6.8
Stock building	1.6[1]	
Total domestic demand	4.3	4.1
Exports of goods and services	7.7	9.0
Net factor income	2.5	2.5
Imports of goods and services	8.1	8.6
GNP at market prices	3.8	4.0

1 Per cent of GNP.
Source : Third Programme and Department of Finance (Review of 1968 and Outlook for 1969).

The Programme does not give a complete forecast of the balance of payments. It is assumed that the current account will show deficits perhaps of the order of 2 per cent of GNP, to be financed by long-term capital imports, mainly in the form of new foreign establishments and participation in Irish enterprises. Foreign borrowing by the Government is expected to be moderate.

Policies

Policies will be particularly concerned with problems in two main areas. First, there will be a need to stimulate domestic as well as foreign private business to establish a large number of new manufacturing enter-

prises and to extend productive capacity in existing units. Second, to improve competitiveness, greater efforts will be made in improving the vocational qualifications of manpower and industrial relations, creating more flexibility in the labour market and developing and incomes policy.

Financial encouragements to exports (exports tax relief) and productive investment (capital grants), major instruments of growth promotion in the past, will be retained and adapted to new conditions. The Third Programme contemplated that from 1968/69 to 1972/73, the public capital programme—which comprises government expenditure on fixed investment in the social sector and in public facilities, as well as financial support to productive investment in the private sector—would be increased by 17 per cent. It envisaged increased allocations to industry and tourism, reflecting inter alia the need for increased expenditure arising out of industrial estates and regional development. In general, the largest rates of increase were to be in items of expenditure which have the greatest multiplier effects on total fixed investment.

In view of the great variety of activities in which the Government and government bodies are now engaged for industrial promotion, and given the rapidly changing technical and economic conditions under which industry operates, the need has been felt for a re-organisation of existing programmes and the establishment of new arrangements. A study of the capital programme is being undertaken to assess its effectiveness by sectors. Arrangements are made to ensure that annual government budgets are prepared within the framework of the long-term programme, so that public expenditure, current and capital, can be related as realistically as possible to the growth of material resources. The Industrial Development Authority (IDA) is being re-organised and enlarged to facilitate greater selectivity in promoting industrial projects and to offer increased technical and commercial expertise both during and after implementation. Regional offices of the IDA will be established to promote, in collaboration with local development groups, manufacturers and trade unions, the authorities' industrialisation programme. The small industries programme, launched in 1967 to raise the general level of small-scale enterprises in development areas, was extended in early 1969 to cover the whole country. The designation and planning of development centres, as recommended by two committees and the NIEC, is considered to be an effective means of promoting economic expansion and a Regional Development Committee (RDC), representative of all the departments concerned, was established to advise on the implementation of a development centre policy. These centres will be given priority in public investment programmes relating to housing, the infrastructure and urban facilities, and in the setting up of industrial estates; two have already been established, at Waterford and Galway. The

implications of wider regional development are currently under consideration by the Government. To prepare firms for free trade, a new scheme of re-equipment grants has been introduced, supplementing arrangements already in operation (grants, engagement of consultants, training courses for management and workers, etc.).

With the financial aid obtainable, together with facilities granted by banking institutions, there has in the past been little evidence that industrialists have encountered difficulties in raising capital to finance soundly-based projects. The capacity of the banking system to grant long-term finance will be increased further as the Industrial Credit Co. Ltd.[1], and its subsidiaries, will provide loans, often on easy terms, for small and medium-sized industrial concerns and to initiate and facilitate mergers. The Government has decided to set up a special company to assist firms which, although potentially viable, are in danger of closing down because they are unable to raise capital from commercial sources. Irish commercial banks in recent years have, moreover, merged into two consolidated groups, which have both founded investment banks to specialize in long-term financing. Nevertheless, the financing of the forecast large volume of investment will require higher personal and corporate savings. Fiscal surpluses would enable the public sector to contribute to total savings. The need for higher tax revenue will largely be met by revenue buoyancy but it may also necessitate some increases in tax rates and changes in the tax system. From the point of view of both meeting budgetary requirements and developing a flexible demand management policy, it might be appropriate to place indirect taxation on a broader basis. (See Annex on Fiscal Policy Recommendations).

To maintain the competitive strength of Irish producers, the aim of the authorities' incomes policy will be to ensure that the rate of increase in money incomes relative to productivity will be somewhat slower in Ireland than in the countries which are her main competitors. However, in these matters the Government will mainly rely on voluntary co-operation between the parties directly involved in incomes settlements; its role will be confined to providing an appropriate institutional framework and supplying economic guidance. It is thought that a central advisory body, comprising representatives of employers, unions and Government, will keep incomes and prices under review, present factual information on developments in this area, and advise on the desirable criteria for dealing with prices and incomes in the light of economic and

1 A government institution which provides such services as contract loans, finance via direct investment, the underwriting of public issues and the financing of mergers.

social targets. The question of establishing a body to undertake these functions will be settled in the near future.

Greater efforts will be made in the course of the Third Programme to extend existing facilities for vocational training; the aim is to have sufficient special training centres in operation by 1971 to train about 2 000 workers per annum, approximately 1 per cent of the industrial labour force. It is intended to extend the levy-grant system to cover all manufacturing industries; under this scheme firms pay a training levy, the proceeds being paid out as grants towards the costs of approved training provided by industry. Moreover, it has been decided to undertake a major re-organisation and expansion of the placement and guidance functions of the employment service. The Government has approached trade unions and employer organisations to secure agreement to a code of procedure to be followed in cases which might involve large-scale redundancy.

IV PROSPECTS AND CONCLUSIONS

1969 saw further progress towards achieving the basic aims of Irish long-term economic policy. Industrial production advanced rapidly for the third year in succession and greatly exceeded the annual target set by the Third Programme. There was a further transfer of labour from agriculture to better paid urban occupations. Industrial employment increased by about 4 per cent, registered unemployment was reduced, and net emigration was again below the relatively low figures of recent years. Stimulated by a larger public capital programme and other aid to industrial development, productive capital formation accelerated; the ratio of fixed investment to GNP reached a higher level than is implied in the Third Programme. Despite the slow growth of import demand in the United Kingdom, Irish exports continued to expand at a good rate; on an overall basis they gained market shares and there was further geographical diversification.

But the rise in wages was excessive last year, entailing a strong increase in consumer's expenditure and a sharp increase in production costs. Imports grow strongly in response to the rapid expansion of investment and consumers' expenditure, and the current balance of payments deficit reached over 4 per cent of GNP. Nevertheless, the financing of the deficit caused no problems as there was a large inflow of foreign direct investment and other long-term capital, which brought about a further strengthening of the external reserves position.

The pressure on resources was, thus, already considerable by the beginning of 1970. There are indications that, generally, the rates of capacity utilisation were high, and there were increasing shortages of skilled workers. Despite a sharp rise in production costs and a tightening of monetary conditions, business opinion remained optimistic as sales on the domestic and export markets continued to rise fast.

World trade is expected to grow much less in 1970 than in 1968 and 1969; in particular, OECD projections suggest that there may be a deceleration of the growth of imports into continental Europe, in which markets the major part of the expansion of Irish exports has taken place in recent years. The growth of United Kingdom imports may not be very different from that of last year. However, the small absolute size of Irish industrial exports may make their competitiveness and ability to gain further market shares of greater importance than the overall growth of import demand in major countries. Productive capacity in the export industries has been expanded considerably in the past few years, and surveys conducted by the Export Board show that exporters are confident of their ability to increase shares further in 1970. Taking into account some loss of exports because of strikes last year it would seem, therefore, that the volume of exports of goods and services could increase faster in 1970 than in 1969.

But although export prospects for 1970 are promising, the outlook for subsequent years is uncertain. After two years of favourable labour cost performance in industry, excessive pay increases reversed this situation in 1969 and a further deterioration may occur in 1970. If such experience were to continue, the cumulative effect on competitiveness could jeopardise the outstanding Irish export performance of recent years and endanger further progress towards full employment.

Surveys of private investment intentions suggest that in 1970 the increase in business investment may not reach the exceptional 1969 rate. Tighter monetary policy may reduce the availability of new finance for business investment, but the close integration of the United Kingdom and Irish money markets, and the request to banking institutions to give priority to productive investment, suggest that shortage of funds should not be a serious obstacle. Cost increases may squeeze profit margins in 1970, but the effect on the implementation of major investment projects is unlikely to be great, as these are largely decided upon some time in advance. Expenditure under the public capital programme is expected to expand, particularly to encourage the setting-up of new industrial enterprises. A large number of new propects will be started during the year. Thus, fixed investment is expected to rise strongly again in 1970, although not at the exceptionally high rate of last year.

Tighter monetary conditions may, on the other hand, lead to some deceleration in stockbuilding. Novertheless, the ratio of total investment to GNP may be raised to about 23 per cent, a level which was only expected to be reached at the close of the Third Programme in 1972.

Present trends, assuming unchanged policies, point to a considerable increase in private consumption. Allowing for a rise in industrial employment, the 12th round of wage settlements could well result in a higher increase in the non-agricultural wage bill than in 1969, if the government's norm is not accepted. Agricultural incomes should rise faster than in 1969, but perhaps less than in the industrial sector. The overall increase in disposable incomes will be substantial. Consumer prices (including indirect tax effects) rose by 7 to 8 per cent in 1969; buoyant demand and rapid increases in costs seem likely to produce a further substantial rise in 1970. Nonetheless, the increase in consumers' real incomes should still be considerable. In 1969 private consumption was encouraged by the ready availability of consumer credit and personal loans. The restrictions imposed by the government on hire purchase and instalment credit transactions, in addition to tighter monetary conditions should reverse the situation in 1970. Even so, the possible development of incomes could accelerate the growth of private consumption beyond the rate of growth of overall productive capacity.

On unchanged policies, the rise in domestic demand may therefore remain high, perhaps 5 ½ to 6 per cent. Although the growth of productive potential may well have accelerated in response to the rapid expansion of productive investment in the last two years, it is unlikely to exceed 5 per cent in 1970. The increases in domestic demand and exports mentioned above would therefore entail strong and increasing pressure on resources and lead to continued rapid expansion in imports. In these circumstances, and assuming no change in policy, the current external deficit could remain high in 1970.

Given the desirability of maintaining a strong advance in productive investment, measures to limit the growth of domestic demand should, as far as possible, affect consumption. Private consumption in 1969 increased faster than envisaged in the Third Programme and it seems likely to continue to do so in 1970. The existing strong pressures on domestic resources and the balance of payments, as well as the authorities' longer-term policy aims, may call for further measures to moderate the rise in consumers' expenditure. Such measures would help to strengthen the balance of payments as the growth of imports is sensitive to the growth of consumer spending. In the interest of bringing about a better balance in the economy, it would also seem necessary to limit the rise in government current expenditure. It is desirable to maintain a strong increase in

productive investment. Since this could give rise to some strain on resources in certain sectors or regions, the co-ordination of investment projects would seem to be more than usually important.

Restraint on domestic demand would serve to keep the balance of payments deficit within reasonable limits. It would also help to moderate the rise in costs and prices, but is unlikely to be sufficient to restore a satisfactory performance. Certain important wage settlements which set the pattern for last year's negotiations will come up for re-negotiation later this year. Whilst a repetition of the large 1969 settlements would seem unlikely, there is a danger that wage increases will be excessive from the point of view of restoring better price/cost stability, given, notably, the fact that the strong rise in prices has reduced the purchasing power of the increases granted last year. To avoid this, government action—for instance, in the form of a stabilization programme worked out in co-operation with the trade unions and the employers organisations—may be needed to supplement fiscal and monetary measures in arresting a price/wage spiral. Moreover, while the immediate problem could be solved by ad-hoc agreement between the authorities and the other parties concerned, it underlines the need for an incomes policy on a more permanent basis, as well as other policies to deal with labour market problems.

An incomes policy takes time to develop and it requires the establishment of methods of co-operation and an administrative framework. An outline of an incomes policy was made in the Third Programme, the National Industrial Economic Council has been examining the matter, and the question has now been under discussion for some time by the authorities involved. This should have prepared the ground for practical steps which could put an incomes policy into early operation. The effectiveness of an incomes policy would be further enhanced by more intensive measures to extend training and resettlement schemes for labour and increase mobility between regions and industries. The efforts envisaged in the Third Programme towards establishing a modern labour market policy are modest compared with most OECD-countries and may prove to be insufficient in view of the shortage of skilled labour, the large number of people leaving the land, and the likely continuing increase in industrial development.

Over the last decade an important feature of the economy has been a tendency for the current external deficit to rise rapidly as the economy expands. Recent developments have confirmed this tendency. It is true that the estimated £60 million deficit incurred in 1969, or the prospective large deficit for 1970, can be financed without much difficulty, given the steady inflow of foreign capital and the relatively large external reserves. But if large deficits continue, financing could well become a problem.

The growing external deficit is a reflection of the fact that the rise in savings has not kept up with the rise in investment. The investment rate (gross fixed asset formation as per cent of GNP) rose from 13 per cent in 1960 to 19 per cent in 1965 and 22 per cent in 1969, entailing a marked increase in the amount of capital investment per employed. This is a development common to most countries, but the movement has been particularly rapid in Ireland, partly because the starting point was relatively low. The savings ratio also increased rapidly in the first half of the sixties, but has remained on a plateau in recent years. As the investment rate may well continue to grow, it is important that the upward trend in the savings ratio should be resumed; otherwise the current external deficit could become unduly large. As the rate of savings may not rise spontaneously, measures to increase it may be needed. Measures to stimulate private savings would be useful, but it may well be necessary to increase savings on public account. Public savings are relatively low in Ireland, and an increase may well be a condition for maintaining a growing rate of investment and strong expansion. The present, with demand pressures threatening to become excessive, would be a good time for taking fiscal measures to increase public savings.

Annex I

IRELAND'S EXPERIENCE AND VIEWS IN RESPECT OF THE RECOMMENDATIONS OF THE FISCAL POLICY REPORT

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Annex I

IRELAND'S EXPERIENCE AND VIEWS IN RESPECT OF THE RECOMMENDATIONS OF THE FISCAL POLICY REPORT[1]

Introduction

Given the relatively large agricultural sector and the persistence of under-employment and emigration in the Irish economy, government policy has naturally been directed towards the long-term structural objective of industrial development. Fiscal policy has also been used for demand management purposes.

Under the Irish Constitution the Government must prepare and present annually to the Dáil (Lower House) estimates of receipts and expenditure of the State. The budget is usually presented in the early months of the financial year (which runs from April to March). Supplementary proposals relating to taxation or expenditure may, however, be presented at any time.

The budget is divided between a current account and a capital programme. The current budget relates to revenues and expenditures which are channelled through the Exchequer. It excludes services which are financed through extra-budgetary funds, such as the Social Insurance Fund, which have independent sources of revenue. Subventions to these funds are, however, borne on the current budget. The current budget is operated so as to aim at a balance between revenues and expenditures and thus depends for its short-term effects on changes in the level and composition of current expenditure and taxation.

The capital budget (published in advance of the current budget) is not the subject of separate formal consideration in the Dáil. It embraces the capital and other expenditure of the whole public sector, i.e., central government, extra-budgetary funds, local authorities and state enterprises (both incorporated and unincorporated), irrespective of the source of finance. In contrast to the current budget, only about one-third of the

1 The recommendations of the Group of Fiscal Experts are reproduced in Annex II.

total is subject to annual appropriation ("voted capital services"). The balance is governed by individual statutes which grant investment authority in various forms.

It is the policy of the Government to finance the capital budget to the greatest extent possible out of public and private savings and to depend on (short-term) bank finance and—marginally—foreign credit for the remainder. Statutory limits on state borrowing, whether at home or abroad pose no problems in practice. There is, however, a general prohibition on direct borrowing from the Central Bank, except for special purposes in connection with the IMF and IBRD.

Immediately following the Budget Speech the resolutions containing the tax measures are put to the Dáil and voted upon; when passed, they are given an immediate statutory effect for a period of up to four months. At this stage the expenditure proposals are only discussed generally. There follows a more detailed debate, leading up to the annual Finance Bill, in which the tax resolutions are subject to ratification. Supplementary proposals introduced throughout the year are subject to the same procedures. A limited number of taxes may, in certain circumstances, be varied by Government Order.

Indirect taxes account for two-thirds of central government tax revenues, and of this, the bulk is derived from customs and excise duties on a narrow range of commodities—tobacco, oil, beer and spirits. This has made for a tax system which responds rather weakly to economic variations. However, the endogenous growth of direct tax yields and the introduction of broadly based sales taxes are helping progressively to redress the balance.

Social Insurance is financed jointly be central taxation and insurance contributions by employers and employees. Neither insurance contributions nor benefits are earnings-related. Rates of contribution are generally changed in line with benefit changes. Other social expenditure is financed to an unusual degree from central government taxation; nevertheless, the contribution of local governments to the health service places a heavy burden on the limited tax resources available to them.

Total taxes, including social insurance contributions, amount to about 30 per cent of GNP, a somewhat lower level than typical for most industrialised countries. Of the total, local property taxes account for one tenth and social security contributions for a twelfth.

As government policy has been especially concerned with the longer terms objectives of promoting structural change and economic and social development, the tax system has been extensively used to encourage

productive investment and exports. In pursuing these goals, however, the major role has been played by the public capital programme, which amounts to about 50 per cent of gross domestic fixed capital formation, and through its inducement effects, influences a further 25 per cent. Although it is exceedingly difficult, and may be wasteful, to reduce the programme at short notice, a powerful influence can nonetheless be exerted by stabilising or controlling the rate of expansion of the programme.

The government has, therefore, on both current and capital account, certain fiscal instruments which can be used to influence demand conditions in the short-term. But at times when the pressure on ressources has been increasing, accompanied by undue rises in costs and prices and a deteriorating balance of payments, the government budget has not always operated counter-cyclically, sometimes the reverse. There is a need, therefore, to strike a balance between short-term flexible demand management requirements and longer-term commitments and growth targets. To this effect the Irish fiscal system is examined below, in the light of the recommendations of the Group of Fiscal Experts.

Economic Information and Public Understanding (Recommendations Nos. 1 to 7).

The long-term development programmes, which are published every four or five years, together with reviews of progress, set the general targets and guidelines for government policy. The annual budget is prepared within the framework of the programmes and macro-economic short-term forecasts. Apart from the documentation relating to the budget proper, the Department of Finance "Review and Outlook", together with economic assessments prepared by the Central Bank, the Economic Research Institute and the National Industrial Economic Council[1] provide the Parliament and the public with information on current trends and prospects for the coming year.

Short-term macro-economic forecasts are prepared, on a regular basis, within the Department of Finance, as are national accounts versions of the budget. These are not, however, published (Recommendation No. 2). Nor are quantitative estimates of the economic impact of the current and capital budget published (Recommendation No. 4). Although the broad aims of budgetary policy are set out in the budget statement, it is possible that public understanding would be facilitated

1 An advisory body, representative of the public sector, trade unions and employers.

by clear summary statements for purposes of economic analysis (Recommendation No. 3). In particular, to enable the legislature to take a comprehensive view of the budget proposals, a consolidated statement of both the current and the capital budget, including the monetary implications, might be appropriate (Recommendation No. 5). There is a need to further improve the range and timing of current economic statistics, and a Committee on Statistical Priorities has been set up to deal with this.

Co-ordination of Policies (Recommendations Nos. 8 to 11).

The central role of the Department of Finance in the formation of financial and economic policies makes for a high degree of co-ordination between central government agencies, while the inclusion of local authorities and State bodies within the capital programme, together with the regulatory and financial powers of the Departments of Local Government and Health, help to ensure harmonisation of the actions of all public bodies into a general framework for demand management purposes.

Flexibility in Fiscal Policy (Recommendations No. 12 to 23).

A comprehensive system of tax concessions and state aid ensures a high degree of flexibility in the use of fiscal instruments for the allocation of resources to productive investment, encouragement of exports, regional development, etc. The number of projects falling within the public capital programme has, for some years, been consistently in excess of the available capital resources and there is, consequently, no current need for a specific contingency reserve of projects which could be initiated in times of slack demand (Recommendations Nos. 12 and 14).

The question of placing the taxation of traders and professional people on a current payment basis is under consideration. Corporate taxes are paid with a 9-21 months lag and could, therefore, have a destabilising economic impact although their relative importance is not great (Recommendation No. 15).

In the past, the heavy concentration of indirect taxes on a narrow range of commodities gave only a limited scope for manœuvre in operating on the level of private consumption. The introduction in 1963 of more broadly-based sales taxes, and their subsequent extension, have added progressively to the flexibility of the tax system. It has been found possible to alter both expenditure and revenue with a view to dampening demand pressures (e.g. 1965/66 and second half of 1968) or stimulating

economic activity (1967 and the first half of 1968). However, the yield of the sales taxes—a retail tax of 2.5 per cent, levied on most goods and services and a wholesale tax of 10 per cent (not applicable to services and essential goods), or 15 per cent on a narrow range of items—only amounts to about 13 per cent of total tax revenue. Studies have been made on the desirability of adopting a value-added tax. (Recommendation No. 16). Parliamentary procedures enable tax proposals to be treated promptly. Wages and salaries are taxed on a PAYE basis and the government has power to vary certain taxes (mainly customs and excise) by decree. However, this power has not been frequently used for demand management purposes (Recommendations Nos. 18, 20 and 21).

The social security system has not in the past been considered an appropriate instrument of demand management. The policy has been to allocate an increasing proportion of a rising GNP to social security, until the services provided are considered adequate in relation to general living standards and international practice. As mentioned above, the social insurance fund is financed jointly from central taxation and by weekly flat-rate contributions by employers, and employees. Benefits are also on a flat-rate basis. Rates of contribution are generally changed in line with benefit changes. All these features tend to minimise the contracyclical effects of the system. (Recommendation No. 19).

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Annex II

THE RECOMMENDATIONS BY THE EXPERT GROUP ON THE USE OF FISCAL POLICY

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FISCAL POLICY FOR A BALANCED ECONOMY

«Fiscal policy for a balanced economy» OECD, Paris, 1968 is a report prepared by a group of experts[1] appointed by the Secretary-General of the OECD to study the use of fiscal policy as an instrument for maintaining economic balance, to identify the obstacles to an appropriate use of fiscal policy, and to propose ways in which these obstacles might be overcome. The report is based on a review of the experience of fiscal policies since the mid-1950's in seven countries—Belgium, France, Germany, Italy, Sweden, the United Kingdom and the United States—as well as of their institutions and practices in this field. The report concludes with a series of recommendations which are listed below.

A THE NEED FOR FULLER ECONOMIC INFORMATION AND PUBLIC UNDERSTANDING

We believe that in most countries governments should review, and supplement where necessary, the resources they devote to the analyses of economic trends, the forecasting of developments and to the estimation of the effects of policies. We also suggest, as a general aim, that the essential data on which governments themselves base their decisions should be made fully available to the public. Only thus can be fostered a body of opinion, both within legislatures and in the society at large, capable of following the processes of reasoning by which governments have to move from fact and probability to assessment and decision.

We therefore suggest that:

Recommendation No. 1. A basic requirement for the formulation of fiscal policy is the correct appraisal of current economic trends. In a number of countries, official economic forecasting is little developed

1 Walter W. Heller, Chairman, Cornelius Goedhart, Guillaume Guindey, Heinz Haller, Jean van Houtte, Assar Lindbeck, Richard Sayers, Sergio Steve and J.C.R. Dow.

and has not been integrated into the budget process. Most countries could profitably improve upon, and add to, the use of resources devoted to the tasks of economic forecasting and analysis, including improvement in the scope, accuracy and timeliness of basic economic statistics.

Recommendation No. 2. Governments should publish economic forecasts in greater detail and with fuller documentation than is often now the practice. Such forecasts should clarify expected trends and relate to the same period as the proposed fiscal programmes. The current practice in some countries of presenting forecasts in terms of changes between the current and last calendar years is not only inadequate, but may actually be misleading. Clarification of the timepath of expected economic changes and budgetary effects would benefit further from periodic economic reviews and policy assessments.

Recommendation No. 3. In addition to budget presentations for administrative purposes, clear summary statements of budget accounts should be provided for purposes of economic analysis. These should cover both the year past and the expected outturn of the year to come. They should include all Central government transactions, classified according to the standard national accounts sub-divisions. The presentation and justification of budget proposals should be in these simple, standard and relatively intelligible terms. We further suggest that such presentations be disseminated widely and discussed publicly.

A clear justification of budget proposals implies adequate statistical documentation of budget activities. We suggest that governments should review the resources they devote to this purpose and be ready to supplement them where necessary.

Recommendation No. 4. Estimates of the impact of budget and related policies upon the economy are necessarily implicit in the budgetary process. We suggest that such estimates be made explicit and included in budget presentations.

This will involve exploratory work in the area of measurement of budget impacts and further consideration of the problem of presenting budget account. We suggest it might be useful if there were discussions at the expert level in OECD aimed at agreement on common definitions and statistical procedures, which, ultimately, would lead to publishable estimates of the impact that particular budgets are intended to exert upon the economy.

Recommendation No. 5. Legislatures should take a comprehensive view of budget proposals in the context of overall economic policy. This requires more occasions during the parliamentary year when the broad impact of budget effects is debated, apart from discussions of expenditure and revenue proposals in detail.

In addition to formal parliamentary discussion, we think the development of informed views can be fostered by the setting-up of specialised committees to discuss general questions of economic policy.

Recommendation No. 6. Legislators should be provided with more adequate research staff for appraising the mass of economic material with which they need to be familiar to fulfill their responsibilities.

Recommendation No. 7. Governments should encourage the formation of unofficial independent institutions, equiped with sufficient professional staff, to publish regular detailed assessments of economic trends and their implications for government economic policies.

B THE NEED FOR COORDINATION OF POLICIES

Appraisal of the requirements of the economic situation and an efficient decision-making process within the government calls for a certain centralised coordination. Furthermore, our review of countries' experience indicates that modern fiscal policy requires not only coordination within the Central government, but also between the government and other bodies with responsibility in the area of economic policy. And, finally, individual countries have a great and increasing stake in the adoption of appropriate and flexible fiscal policies by their trading partners because fluctuations in economic activity in one country increasingly affect activity in other countries.

Recommendation No. 8. Within the Central government itself, a number of countries have developed institutional arrangements whereby a particular agency, or a group of agencies, exercices a coordinating role over the related functions of other departments. But in some countries the division of functions within the Executive branch has complicated the formulation of a clear policy. There can clearly be no universally ideal answer to administrative problems of this sort and solutions will differ from country to country. But we suggest that there is a need to review present arrangements so as to facilitate more effective coordination and better organisation of the general decision-making process.

Recommendation No. 9. Efficient decision-making presupposes adequate assessment of the policy implications of economic forecasts. This requires that the central department or departments should be served by an adequately staffed economic advisory unit. Members of such a unit should be at a sufficiently senior level to advise on policy issues, and should be closely associated with the forecasting team.

Recommendation No. 10. Since fiscal and monetary policies need to be closely coordinated, there should, whatever the legal status of the Central bank, be close cooperation between it and the government. Each should view specific policy problems in a wide context, keeping in mind the overall goals of economic policy.

Recommendation No. 11. We suggest that in most countries governments need to improve their ability to include actions of Local authorities in their policy formulation. Since, in all countries, the Local government sector is an important component of total demand, the Central government should, as a minimum, have prompt and accurate information about State and Local fiscal operations.

C THE NEED FOR FLEXIBILITY IN FISCAL POLICY

The efficiency vith which policy decisions can be implemented and the speed with which their effects are transmitted to, and work themselves through, the economy can spell the difference between an appropriate and successful policy and one that, though initially appropriate, turns out to be unsuccessful and, perhaps, even perverse. We suggest improvements in efficiency under the following main headings:

(*a*) flexibility in the control of public expenditures;

(*b*) measures affecting private investment; and

(*c*) measures affecting private consumption.

We also have suggestions to make on (*d*) flexibility in debt management and (*e*) short-term fiscal action in the context of overall economic policies.

a) *Flexibility in the control of public expenditure*

Though many items of public expenditure are difficult to change substantially at relatively short notice, variation should not be rejected as impossible; otherwise, an undue share of any adjustment will fall on the private sector.

Recommendation No. 12. Efforts should be made to increase the flexibility of public expenditure, both current and capital. Apart

from timing the introduction of new programmes according to the needs of the general economic situation, we suggest that planned expenditures should be classified according to the ease with which they can be varied at short notice. In the case of public investment, the speeding up or slowing down of certain smaller projects, specially selected in advance, may provide sufficient flexibility, with sizeable and possibly costly swings in larger programmes being avoided. An extension of this idea is the Swedish emergency investment budget which, voted each year on a contingency basis, applies to such a "shelf" of projects and, in addition, leaves the government free to overspend appropriations up to an agreed amount.

Recommendation No. 13. In some countries, control by the central economic departments over the timing of expenditures by the other departments is weak and needs to be tightened. In the United States, efforts in this direction resulted in a system of limiting individual departments' spending to quarterly appropriation allotments.

b) *Measures affecting private investment*

Fiscal instruments can effectively influence private investment decisions because they can directly affect both the liquidity position and the profitability of business. In order to improve the leverage of fiscal instruments upon private investment decisions, we have two proposals to make:

Recommendation No. 14. Private investment activity is subject to strong fluctuations and, therefore, strong offsetting measures are needed. We believe that fiscal incentives which directly affect the profitability of investments are probably most effective. We would rate temporary changes in outright cash grants, subsidies and taxation of investment expenditure most likely to be successful, followed by changes in rates of profit tax and depreciation allowances. Responsiveness to the latter is conditional upon accounting practices and might be strengthened in this respect. In addition to the use of these instruments new tools might be developed. The Swedish Investment Reserve Fund provides an example of an effective technique combining both investment subsidies and liquidity effects in order to influence the timing of private investment expenditures.

Recommendation No. 15. The taxation of business profits should, as far as possible, be put on a "pay-as-you-go" basis. This necessitates a system of self-assessment, together with a requirement of incentive for firms to make tax payments in advance of, and large in relation

to, final assessments. Arrangements in Belgium, Sweden and the United States already approximate this system. Failure to eliminate long lags in payment of business taxes leads to unnecessarily long lags between changes in tax rates and liabilities and the economic effects they produce; in particular, it can encourage excessive private investment during an upswing.

c) *Measures affecting private consumption*

There are limits to the extent to which government expenditure can be varied, or private investment influenced, in the interests of demand management. Accordingly, governments need to rely heavily on fiscal instruments affecting private consumption (which, in most cases, constitutes around two-thirds of national expenditure). We have a number of proposals for improving the adequacy and efficiency of fiscal instruments affecting household expenditure:

Recommendation No. 16. Effective demand management policies presuppose a tax system sufficiently broad-based to allow a choice among particular tax instruments, or combination of several of them. While we would not, of course, advocate changes in tax structure on the basis of demand management criteria alone, a move towards a broader-based system would improve the efficiency of discretionary action as well as the automatic response of the fiscal system. In this respect, the British indirect tax system, for example, heavily concentrated on drink, tobacco, and certain other relatively narrow expenditure categories, may not be very efficient.

Generally, to provide a sufficient basis for flexible fiscal policy, it needs to be accepted that all major broad-based taxes and levies affecting consumers should be variable for purposes of demand management. We could specify, in particular, personal income taxes, general sales and value-added taxes. Furthermore, variation of Social Security contributions and payroll taxes generally should be considered part of the fiscal instruments available for use in stabilisation policies.

Recommendation No. 17. Changes in the prices charged for the services provided by public enterprises have effects comparable to changes in indirect taxes. These should be taken into account in the formulation of fiscal policy. The timing of such changes may, on occasion, appropriately be used as an instrument of demand management.

Recommendation No. 18. To increase the effectiveness and timeliness of discretionary action, as well as to strengthen automatic responses, collection of income taxes on wages and salaries should, as far as possible, be placed on a "pay-as-you-earn" basis. Collection systems should be readily adaptable to quick changes in tax rates at any time during the year. A number of countries already have such systems, but they could be more extensive, particularly in France and Sweden.

Recommendation No. 19. Social Security systems contribute substantially to the automatic stabilising effects of the fiscal structure: moreover, as we have already suggested, temporary changes in contributions, or in benefits, should be used as a discretionary instrument. It would strengthen the useful economic effects of Social Security systems if, as in Belgium, Germany and the United States, unemployment benefits were put on a wage-related rather than a flat-rate base. Where justifiable for other reasons, the magnitudes of unemployment (and perhaps other) benefits might be increased.

Recommendation No. 20. In some countries, the procedure for tax changes at budget time is rendered cumbersome by the rule that long notice has to be given before proposals can be enacted. This causes anticipatory effects—a disadvantage which we suggest outweighs any more general advantages. In the United States, tax changes have at times been backdated to the time when proposals were first made, and this might constitute at least a partial remedy worth considering. The ideal system appears to be that of the United Kingdom under which tax proposals take immediate effect in advance of full debate.

Recommendation No. 21. In Belgium, Italy and the United Kingdom (and to a smaller extent in France), the government has considerable power to vary tax rates, including in some cases Social Security contributions, by decree at any time within the budget year, without prior approval by Parliament; subsequent approval is usually required. In Germany, the government can put certain temporary changes through with a much abbreviated legislative procedure. Other countries would be well advised to follow these examples.

d) *Flexibility in debt-management*

Recommendation No. 22. Improvements in the efficiency and timeliness with which the fiscal system can respond to demand management requirements may be hampered by various limitations on government

financial transactions. Fiscal flexibility is inhibited to some extent in the United States by limitations on the size of the public debt. And there is a further constraint in the manner in which the debt can be financed because of the upper limit set to the rate of interest which the government may pay on long-term debt. Other countries also have certain statutory limitations relating to financial transactions. Such restrictions, we suggest, should be removed, or altered, so as to give the Treasury, or other responsible departments, sufficient room for manœuvre.

e) *Short-term fiscal action in the context of overall economic policies*

Improvements in the efficiency with which short-term policy actions are transmitted through the economy are a necessary, but not a sufficient, condition for a successful stabilisation policy. Short-term economic policy decisions need to be taken in the context of overall and long-term policy goals. The latter can be provide a standard against which short-term decisions can be measured and justified and through which a new element of flexibility can be added to short-term fiscal action. We have two proposals to make in this connection:

Recommendation No. 23. We recommended that, as is currently already the practice in a number of countries, public spending programmes be planned ahead over a period of years on the basis of medium-term projections of economic developments and future allocation of national resources. We suggest that such projections be regularly published and publicly discussed.

Recommendation No. 24. As countries increasingly operate in the "narrow band" around full employment, overall demand management needs to be supplemented by selective policies aimed at correcting regional or sectoral imbalances. We suggest that, to deal with such problems, governments should develop, in co-operation with regional authorities and specialised agencies of the Central government, selective policies such as those dealing with manpower resources. More extensive action in this field would probably be both possible and economic, and there seems room for further study of the potential costs and benefits.

STATISTICAL ANNEX

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Table A **Expenditure on gross national product**

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969 (est.)
					(a) *£ million at current prices*					
Consumers' expenditure	496.1	522.8	563.7	599.8	668.1	705.1	747.3	788.0	872	974
Public authorities' current expenditure	78.1	83.7	91.4	99.4	118.9	129.6	136.1	145.3	169	191
Gross fixed capital formation	89.7	108.5	128.3	148.5	174.2	197.9	195.5	215.7	252	314
Change in stocks and work in progress	+12.4	+10.0	+12.6	+12.6	+20.0	+27.3	+7.8	−5.7	+17	+25
Domestic demand	676.3	725.0	796.0	860.3	981.2	1 059.9	1 086.7	1 143.3	1 310	1 504
Exports of goods and services	201.6	236.0	237.4	265.3	301.1	307.7	339.3	383.0	445	499
Aggregate demand	877.9	961.0	1 033.4	1 125.6	1 282.3	1 367.6	1 426.0	1 526.3	1 755	2 003
Less : Imports of goods and services	235.6	270.5	286.7	323.0	369.6	394.9	399.7	415.5	525	619
Net factor income from abroad	33.2	35.7	35.9	35.6	37.1	45.4	44.3	47.7	58	60
Gross national product at market prices	675.5	726.2	782.6	838.2	949.8	1 018.1	1 070.6	1 158.5	1 288	1 444
					(b) *£ million at constant (1958) prices*					
Consumers' expenditure	490.1	504.7	523.9	543.4	568.5	575.1	589.7	603.9	642	668
Public authorities' current expenditure	73.3	75.1	77.5	80.7	82.9	86.2	87.5	91.8	101	104
Gross fixed capital formation	87.9	102.9	117.7	133.5	147.4	161.5	155.2	166.1	188	216
Change in stocks and work in progress	+12.2	+9.6	+12.5	+12.0	+18.0	+23.5	+7.0	−6.3	+13	+22
Domestic demand	663.5	692.3	731.6	769.6	816.8	846.3	839.4	855.5	944	1 010
Exports of goods and services	198.3	232.4	230.2	252.3	272.9	273.0	295.6	332.5	363	387
Aggregate demand	861.8	924.7	961.8	1 021.9	1 089.7	1 119.3	1 135.0	1 188.0	1 307	1 397
Imports of goods and services	236.5	269.2	283.9	314.2	354.9	369.8	373.0	390.0	456	510
Net factor income from abroad	33.3	35.5	35.6	34.7	35.7	42.5	41.4	44.8	50	50
Gross national product at market prices	658.6	691.0	713.5	742.4	770.5	792.0	803.4	842.8	901	937

Source : National Income and Expenditure ; Irish submission to the OECD.

Table B **Production, employment and other economic indicators**

		1965	1966	1967	1968	1968				1969			
						Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Volume of agricultural output[1] *(1953 = 100)*	111.6	112.3	115.2	121.6								
2	Cattle numbers *(thous., mid-year)*	5 359	5 590	5 586	5 572								
3	Index of industrial production, transportable goods[2] *(1953 = 100)*	172.2	180.4	195.8	218.8	196.7	225.8	221.2	231.7	204.5	248.8	237.8	
	of which :												
4	Mining and quarrying[2]	216.6	302.2	365.0	453.8	280.7	583.8	573.2	377.6	344.6	601.6	649	
5	Manufacturing[2]	169.9	175.3	188.8	209.3	192.8	211.8	207.4	225.4	198.6	234.8	221.8	
6	No. of males engaged in farm work *(thousands, 1st June)*	330.0	320.6	309.9	301.4								
7	Employment in transportable goods industries *(thousands)*[2 3]	182.7	184.7	187.4	191.2	185.8	190.7	193.0	195.4	196.3	201.2		
8	Registered unemployment *(thousands)*[4]	50	48	55	58	66	57	52	57	66	55	50	60
9	Average hours worked per week in transportable goods industries[5]	44.0	44.2	43.8	43.8	43.1	43.8	43.8	43.9	43.3	43.7	43.2	
10	Value of average weekly retail sales *(1961 = 100)*	132	135	141	153	135	151	157	170	148	173	179	
11	New private cars registered for the first time[2] *(thousands)*	43.3	39.5	40.3	51.4	13.3	15.1	12.0	11.0	13.1	16.4	11.2	
12	New outward passenger movements by sea and air *(thousands)*[6]	−27	−26	−49	−5	−12	+35	−45	+17	−24	+33	−39	

1 Net output adjusted for stock changes; excluding turf.
2 For items 3, 4, 5, and 7 the figures for 1968 and 1969, and for item 11 the figures for 1969, are provisional.
3 Quarterly figures are for March, June, September and December; annual figures are averages.
4 Figures over the years are not comparable owing to changes in coverage.
5 Annual figures are for September; quarterly figures relate to March, June, September and December.
6 + = net inward movement; — = net outward movement.

Source : Irish Statistical Bulletin.

Table C **Prices and wages**

		1965	1966	1967	1968	1969	1968				1969			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Agricultural prices *(1953 = 100)*	117.7	115.9	118.3	130.4		131.3	130.3	128.2	131.7	136.2	138.0	132.9	
2	Price per head live weight of bullocks at Dublin auctions (£)	75.5	69.7	69.9	83.5		82.4	83.6	85.1	81.6	86.1	91.0	91.3	
3	Consumer prices[1] *(mid-August 1953 = 100)*	143.9	148.2	152.9	160.1	172.0	157.5	160.0	160.3	162.7	168.1	171.0	173.8	175.1
4	*of which :* Food prices	140.9	141.7	144.4	152.7	161.9	150.8	154.2	153.3	152.6	158.6	162.1	163.6	163.3
5	Wholesale prices *(1953 = 100)*	131.6	134.2	137.7	145.9		143.6	146.0	145.9	148.2	153.2	156.9	157.1	
6	Industrial prices *(1953 = 100)*	132.5	137.9	143.0	149.4		146.4	148.6	149.8	152.6	156.2	158.6	161.0	
	of which :													
	Simply transformed good	111.8	114.9	118.2	123.4		122.2	123.2	123.7	124.4	125.0	125.8	126.5	
	More elaborately transformed goods	140.3	146.5	152.2	159.2		155.5	158.1	159.7	163.3	167.9	171.0	174.0	
7	Minimum weekly wages in agriculture[2] *(1953 = 100)*	197.2	212.9	221.5	240.2	283.7								
8	Average hourly earnings in transportable goods industries[3] *(October 1953 = 100)*	197.1	220.9	231.5	254.7		240.9	249.3	254.7	264.4	270.5	280.7	289.5	

1 Quarterly figures for February, May, August and November; annual figures are averages.
2 July in each year.
3 Quarterly figures for March, June, September and December; annual figures are for September.

Source : Irish Statistical Bulletin.

Table D **Money and banking**

	1965	1966	1967	1968	1969	1968				1969			
						Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1 Currency in circulation £ *million*[1]	113.8	120.3	124.7	133.8	143.1	130.2	130.8	135.9	146.1	140.8	140.7	143.8	153.7
2 Rediscount rate of Central Bank[2] *(per cent)*	$5^{7}/_{8}$	$6^{7}/_{8}$	$7^{25}/_{32}$	$7^{11}/_{64}$	$8^{1}/_{4}$	$7^{25}/_{64}$	$7^{7}/_{16}$	$6^{55}/_{64}$	$7^{11}/_{64}$	$8^{3}/_{4}$	$8^{1}/_{2}$	$8^{3}/_{8}$	$8^{1}/_{4}$
3 Price of 6 per cent Exchequer bonds[3] *(per £ 100 stock)*	$97^{1}/_{4}$	$90^{1}/_{12}$	$89^{3}/_{4}$	$86^{1}/_{2}$	$75^{3}/_{4}$	$88^{1}/_{8}$	$88^{3}/_{8}$	$85^{7}/_{8}$	$83^{7}/_{8}$	$81^{1}/_{2}$	77	$73^{1}/_{4}$	$71^{5}/_{8}$
4 Price index number of ordinary stocks and shares[3] *(1953 = 100)*	316.2	295.1	294.5	420.0	444.0	357.6	410.6	449.3	462.6	473.6	463.8	429.2	409.4
Associated Banks[2]													
5 Current accounts *(£ million)*	210.7	235.4	255.5	275.6	287.6	272.2	257.6	289.0	275.6	300.7	283.3	292.9	287.6
6 Deposit accounts *(£ million)*	274.2	306.0	353.2	429.6	485.5	371.2	389.8	409.8	429.6	434.3	453.9	468.8	485.5
7 Total credit	368.3	406.5	440.5	543.1	613.2	472.6	489.3	522.8	543.1	582.6	601.8	614.9	613.2
8 *of which :* Government	59.1	81.5	91.2	129.9	167.0	99.9	100.4	126.6	129.9	141.1	133.8	166.8	167.0
9 Net external assets *(£ million)*	89.3	85.2	130.7	74.8[4]	19.0	129.9	122.3	127.1	74.8[4]	48.6[4]	47.3[4]	26.2[4]	19.0

1 Average of Saturdays; quarterly figures refer to the final month.
2 End of period.
3 Averages during period.
4 Reflects sterling transferred in November 1968 and in August 1969 to Central Bank in connection with the Basle arrangement.

Source : Central Bank of Ireland Quarterly Bulletins; Irish submission to the OECD.

Table E **Foreign trade and payments**
£ million, end of period

		1965	1966	1967	1968	1969	1968				1969			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Imports, £ *million, monthly averages*	31.0	31.1	32.7	41.3	49.1	38.3	41.7	39.4	45.5	44.9	53.0	47.0	51.8
2	Exports, £ *million, monthly averages*	18.3	20.3	23.8	27.7	30.9	24.8	26.8	29.3	29.9	26.8	30.7	32.3	33.7
3	Trade balance, £ *million, monthly averages*	−12.7	−10.8	−8.9	−13.6	−18.2	−13.9	−14.9	−10.0	−15.6	−18.1	−22.3	−14.7	−18.1
4	Volume of imports *(1953 = 100)*	177.5	177.9	187.7	220.2		210.4	222.8	206.1	241.5	226.7	266.8	232.0	
5	Volume of exports *(1953 = 100)*	173.7	188.9	219.9	239.5		217.1	231.3	253.3	256.5	225.1	251.5	258.7	
6	Import prices *(1953 = 100)*	112.9	112.9	112.2	121.5		120.5	122.5	125.0	123.2	128.2	128.4	131.1	
7	Export prices *(1953 = 100)*	110.9	112.9	112.9	121.1		121.0	122.6	122.5	123.2	124.6	127.7	130.7	
8	Terms of trade *(1953 = 100)*	98.2	100.0	100.6	99.7		100.5	100.1	98.0	100.1	97.2	99.4	99.7	
	Reserves *(£ million, end of period)* :													
9	Gold	6.7	7.3	8.0	31.0	14.9	13.6	27.6	32.2	31.0	31.3	31.3	25.3	14.9
10	IMF super gold tranche	−0.1	−7.7	−3.7	11.6	15.9	−0.1	10.3	10.3	11.6	13.6	13.6	15.7	15.9
11	Other official assets	134.8	168.3	164.4	174.1[1]	247.6[1]	147.8	112.7	125.9	174.1[1]	190,8[1]	170.8[1]	210.7[1]	247.6[1]
12	External assets of the associated banks	89.3	85.2	130.7	74.8[1]	19.0[1]	129.9	122.3	127.1	74.8[1]	48.6[1]	47.3[1]	26.2[1]	19.0[1]
13	Total	230.7	253.1	299.4	291.5	297.4	291.2	272.9	295.5	291.5	284.3	263.0	277.9	297.4

1 Reflects sterling transferred in November 1968 and in August 1969 to Central Bank in connection with the Basle arrangement.

Source : Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin.

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